PENDER COMMUNITY HOSPITAL DISTRICT

Statements of Financial Position

June 30, 2025 and 2024

Assets	2025	2024
Current assets:		
Cash and cash equivalents	$ 16,281,916	13,086,948
Assets whose use is limited or restricted for current liabilities	775,772	826,436
Patient and resident accounts receivable, net of contractual adjustments and estimated uncollectibles of $4,630,000 in 2025 and $6,955,000 in 2024	4,671,710	4,906,059
Other accounts receivable	1,868,268	725,481
Supplies	995,966	1,371,336
Prepaid expenses	621,041	447,109
Estimated third-party payor settlements	5,467,870	1,760,000
Property taxes receivable	48,742	45,322
Total current assets	30,731,285	23,168,691
Assets whose use is limited or restricted:		
Under bond agreements - interest bearing deposits	1,606,263	1,573,445
Internally designated - interest bearing deposits	2,309,334	2,228,256
Total assets whose use is limited or restricted	3,915,597	3,801,701
Capital assets, net	20,012,711	22,077,088
Subscription assets, net	2,299,979	2,934,259
Other assets:		
Goodwill	480,000	480,000
Other	231,150	142,162
	$ 57,670,722	52,603,901

See accompanying notes to financial statements.

Liabilities and Net Position	2025	2024
Current liabilities:		
Current installments of:		
Long-term debt	$ 993,098	961,314
Subscription obligations	549,290	567,207
Accounts payable	2,574,377	819,153
Accrued expenses:		
Salaries, wages and benefits	3,013,714	2,659,665
Interest payable	133,930	136,069
Estimated third-party payor settlements	296,714	459,297
Total current liabilities	7,561,123	5,602,705
Long-term debt, excluding current installments	13,320,140	14,305,865
Subscription obligations, excluding current installments	1,770,117	2,319,384
Total liabilities	22,651,380	22,227,954
Net position:		
Component unit net assets without donor restriction	2,885,107	2,287,019
Component unit net assets with donor restriction	67,502	67,502
Net investment in capital assets	4,747,894	5,975,372
Unrestricted	27,318,839	22,046,054
Total net position	35,019,342	30,375,947
	$ 57,670,722	52,603,901

PENDER COMMUNITY HOSPITAL DISTRICT

Statements of Revenues, Expenses and Changes in Net Position

Years Ended June 30, 2025 and 2024

	2025	2024
Operating revenues:		
Net patient and resident service revenue	$ 41,837,987	31,779,095
Provision for bad debts	(566,690)	(1,667,148)
Net patient and resident service revenue, less provision for bad debts	41,271,297	30,111,947
Retail/340B pharmacy	6,949,894	6,893,193
Other revenue	481,621	669,140
Total operating revenues	48,702,812	37,674,280
Operating expenses:		
Salaries and wages	19,285,204	18,008,768
Employee benefits	4,716,147	3,641,270
Supplies and other	18,385,137	17,660,346
Rental and other expenses	27,500	28,842
Depreciation and amortization	3,384,844	3,404,058
Total operating expenses	45,798,832	42,743,284
Operating income (loss)	2,903,980	(5,069,004)
Nonoperating revenues and expenses:		
District tax revenue	125,234	121,296
Investment income	928,673	785,270
Interest expense	(667,512)	(714,291)
Gain (loss) on disposal of assets	17,100	(5,241)
Noncapital grants and contributions	1,335,920	657,409
Total nonoperating revenues and expenses	1,739,415	844,443
Excess (deficiency) of revenues over expenses	4,643,395	(4,224,561)
Net position, beginning of year	30,375,947	34,600,508
Net position, end of year	$ 35,019,342	30,375,947

See accompanying notes to financial statements.

PENDER COMMUNITY HOSPITAL DISTRICT

Statements of Cash Flows

Years Ended June 30, 2025 and 2024

Increase or Decrease in Cash and Cash Equivalents	2025	2024
Cash flows from operating activities:		
Cash received from patients, residents, third-party payors, and other revenue	$ 43,956,603	40,851,063
Cash paid to employees	(18,931,155)	(17,723,167)
Cash paid to suppliers and contractors	(21,154,858)	(21,619,435)
Net cash provided by operating activities	3,870,590	1,508,461
Cash flows from noncapital financing activities:		
District tax revenue received	121,814	117,159
Employee loans advanced	(36,437)	(3,522)
Noncapital grants and contributions	1,335,920	581,328
Net cash provided by noncapital financing activities	1,421,297	694,965
Cash flows from capital and related financing activities:		
Capital grants and contributions	-	(1,000,000)
Proceeds on disposal of assets	17,100	3,550
Principal payments on long-term debt	(961,291)	(934,948)
Principal payments on subscription obligations	(567,184)	(530,506)
Interest paid	(681,026)	(722,063)
Capital expenditures	(686,187)	(1,064,248)
Net cash used by capital and related financing activities	(2,878,588)	(4,248,215)
Cash flows from investing activities, interest received	844,901	643,938
Net increase (decrease) in cash and cash equivalents	3,258,200	(1,400,851)
Cash and cash equivalents, beginning of year	17,715,085	19,115,936
Cash and cash equivalents, end of year	$ 20,973,285	17,715,085
Reconciliation to statements of financial position:		
Cash and cash equivalents	$ 16,281,916	13,086,948
Under bond agreements - interest bearing deposits	2,382,035	2,399,881
Internally designated - interest bearing deposits	2,309,334	2,228,256
	$ 20,973,285	17,715,085

(Continued)

PENDER COMMUNITY HOSPITAL DISTRICT

Statements of Cash Flows
(Continued)
Years Ended June 30, 2025 and 2024

Reconciliation of Operating Income or Loss to Net Cash Provided by Operating Activities	2025	2024
Operating income (loss)	$ 2,903,980	(5,069,004)
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:		
Depreciation	3,384,844	3,404,058
Noncash loan forgiveness	17,264	11,749
Provision for bad debts	566,690	1,667,148
Decrease (increase) in:		
Patient and resident accounts receivable	(332,341)	(978,982)
Other accounts receivable	(1,110,105)	1,923,307
Supplies	375,370	(80,904)
Prepaid expenses	(173,932)	(94,724)
Estimated third-party payor settlements	(3,707,870)	239,521
Increase (decrease) in:		
Accounts payable	1,755,224	(125,098)
Accrued expenses	354,049	285,601
Estimated third-party payor settlements	(162,583)	325,789
Net cash provided by operating activities	$ 3,870,590	1,508,461

Supplemental Disclosure of Cash Flows Information

Subscription asset additions with subscription obligations	$ -	42,726

See accompanying notes to financial statements.